

Kamloops city council exploring taxation and community benefits tied to AI data centres - CastanetKamloops.net

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Kamloops city council exploring taxation and community benefits tied to AI data centres AI boom has city's attention Kamloops city councillors are looking for new ways to regulate AI data centres amid growing concern about infrastructure demands and community impacts. Council voted 8-1 on Tuesday to direct staff to draft a policy governing the facilities, which have increasingly targeted Kamloops due to its access to hydroelectric power and major fibre optic routes. The proposed policy would look at zoning, taxation, infrastructure impacts and potential community benefits tied to data centre development, while ensuring the city remains aligned with provincial rules. Marvin Kwiatkowski, the city's development, engineering and sustainability director, said Kamloops already regulates AI data centres through zoning, taxation and a daily water-use cap of 35 cubic metres. Kwiatkowski acknowledged there is public concern about water consumption tied to the facilities, but described the amount used as "very little." He told council Tuesday a wider policy on AI data centres isn't something staff have put much thought toward. "We haven't sat down on this one to kind of flesh out where do we start and stop," he said. Coun. Kelly Hall said a policy could help Kamloops yield more than just jobs and taxation from companies, while Coun. Bill Sarai said he'd like to see data centres help fund amenities in town such as parks or fire halls through some sort of utility rate. Kwiatkowski said the suggestions were something the city would have to take a "deep dive" on. There are currently a handful of AI data centres operating in Kamloops — two on Bunker Road near TRU's campus and one on Mission Flats Road in the former Weyerhaeuser office — and more under construction or earmarked for expansion. Opposition to data centres is building momentum in jurisdictions across North America, including in B.C. Earlier this month, BC Greens Leader Emily Lowan called for a moratorium on new AI data centres in the province, arguing they are being built too quickly and without a full understanding of the potential environmental, health and security risks. Her call followed an announcement from Telus that it was building new data centres in Vancouver and expanding an existing facility on Bunker Road in Kamloops, pitched by the federal government as a boost to Canada's sovereign AI and computing capacity. Federal help needed? Earlier in the meeting, councillors Nancy Bepko, who was the lone opposition vote to the draft policy, and Dale Bass introduced a notice of motion looking to address a lack of national standards and municipal tools to regulate the impact of AI data centres. The motion calls for council to ask the Federation of Canadian Municipalities to lobby the federal government to establish policy framework for AI data centres outlining their infrastructure capacity and jurisdictional responsibilities. The FCM would

also consult cities, such as Kamloops, on what the challenges and recommendations would be. The motion will be debated at the next council meeting. Bass said she feels the city's draft policy and the FCM would move "hand in glove" with each other. Bepple said she feels much of what needs to be regulated with AI data centres is already the jurisdiction of the federal government, and shouldn't be the responsibility of the municipality. Coun. Margot Middleton asked what the point of drafting their own policy is given the notice of motion, to which Coun. Katie Neustaeter said she felt they would be doing a disservice to the community to wait for Ottawa. "We need something local, and we need it much faster than anything of this nature would come forward. I think there's value in considering the larger picture, but what I'm concerned about is Kamloops right now," Neustaeter said. More Kamloops News Kamloops Weather Tourism Kamloops Kamloops Transit Airport Arrivals Airport Departures School District 73 Kamloops Classifieds Kamloops Discussion Forum Thompson-Nicola Regional District Interior Health Thompson Rivers University Thompson Career College Thompson-Nicola Regional Library Kamloops Real Estate